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BUSINESS • EARNINGS

Philip Morris Earnings Flat as Cigarette Shipments Decline

International seller of Marlboro cigarettes hampered by antismoking rulings in Europe

By Joshua Jamerson

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A man smokes a cigarette as he walks past a shop displaying a Marlboro sign at a market in Jakarta, Indonesia.

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Philip Morris International Inc. PM **0.74%** ▲ reported no earnings growth in the latest quarter as shipment volume declined in its geographic segments except Europe, where shipments increased slightly.

Philip Morris, which sells the leading Marlboro brand and others internationally, had seen its cigarette volumes grow amid an improving European economy. However, in May, the European Union's highest court rejected a challenge by Philip Morris and

other tobacco companies against a tough new antismoking law.

The 2014 tobacco directive bans menthol cigarettes, mandates bigger warning labels on cigarette packaging and, for the first time, sets limits on electronic cigarettes—including on how much nicotine they can contain. A legal challenge against plain packaging in the U.K. also failed in May.

For the period ended in September, cigarette volume fell 5.4% to 207.1 billion units. Shipment volume declined by 8% in Latin America and Canada, slid 9% in Asia, and fell 5.4% in the Eastern Europe, Middle East and Africa unit. Volume edged up 0.4% in the European Union, where the company gets about one-third of its revenue.

André Calantzopoulos, Philip Morris's chief executive, said that "despite temporary volume weakness this quarter," the company expects annual volume in line with the year-to-date decline of 3.9% at the end of September.

Over all, Philip Morris reported a profit of \$1.94 billion, or \$1.25 a share, flat compared with a year ago. Analysts had forecast \$1.23 a share in earnings, according to Thomson Reuters. Revenue excluding excise taxes edged up 0.8% to \$6.98 billion, as analysts anticipated \$6.97 billion.

The company also affirmed the full-year profit forecast it had issued in September, when it raised its earnings outlook to between \$4.53 and \$4.58 a share.

Shares, inactive premarket, fell 7.3% in the past three months.

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